



Manage and control operational costs

D2.TFA.CL7.05

Assessor Manual



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Project Base

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Competency Based Assessment (CBA) – An Introduction for Assessors

Assessment is the process of identifying a participant's current knowledge, skills and attitudes sets against all elements of competency within a unit of competency.

Suggested Assessment Methods

For each unit of competency a number of assessment tools have been identified including:

- Work Projects
- Oral Questions
- Written Questions
- Third Party Statements
- Observation Checklists.

Instructions and Evidence Recording Sheets have been identified in this Assessment Manual for use by Assessors.

Alternative Assessment Methods

Whilst the above mentioned assessment methods are suggested assessment methods, the assessor may use an alternate method of assessment taking into account:

- a) The nature of the unit
- b) The strengths of participants
- c) The number of participants in the class
- d) Time required to complete assessments
- e) Time dedicated to assessment
- f) Equipment and resources required.

Alternate assessment methods include:

- Practical demonstrations
- Practical demonstrations in simulated work conditions
- Problem solving
- Portfolios of evidence
- Critical incident reports
- Journals
- Oral presentations
- Interviews
- Videos
- Visuals/slides/audiotapes
- Case studies

- Log books
- Projects and Role plays
- Group projects
- Recognition of Prior Learning.

Whilst there is no specific instruction or evidence collection documents for all the alternative assessment methods, assessors can record competency in the 'Other' section within the 'Competency Recording Sheet'.

Selection of Assessment Methods

Each assessor will determine the combination of Assessment Methods to be used to determine Competency for each Competency Unit on a student by student basis.

'Sufficient' evidence to support the 'Pass Competent'/'Not Yet Competent' decision must be captured.

In practice this means a minimum of 2 – 3 Assessment Methods for each candidate for each Competency Element is suggested.

At least one method should provide evidence of practical demonstration of competence.

The following assessment methods deemed to provide evidence of practical demonstration of competence include:

- Practical Work Projects
- Third Party Statement
- Observation Checklist.

Assessing Competency

Competency based assessment does not award grades, but simply identifies if the participant has the knowledge, skills and attitudes to undertake the required task to the specified standard.

Therefore, when assessing competency, an assessor has two possible results that can be awarded:

- 'Pass Competent' (PC)
- 'Not Yet Competent' (NYC).

Pass Competent (PC)

If the participant is able to successfully answer or demonstrate what is required, to the expected standards of the performance criteria, they will be deemed as 'Pass Competent' (PC).

The assessor will award a 'Pass Competent' (PC) if they feel the participant has the necessary knowledge, skills and attitudes in all assessment tasks for a unit.

Not Yet Competent' (NYC)

If the participant is unable to answer or demonstrate competency to the desired standard, they will be deemed to be 'Not Yet Competent' (NYC).

This does not mean the participant will need to complete all the assessment tasks again. The focus will be on the specific assessment tasks that were not performed to the expected standards.

The participant may be required to:

- a) Undertake further training or instruction
- b) Undertake the assessment task again until they are deemed to be 'Pass Competent'.

Regional Qualifications Framework and Skills Recognition System

The 'Regional Qualifications Framework and Skills Recognition System', also known as the 'RQFSRS' is the overriding educational framework for the ASEAN region.

The purpose of this framework is to provide:

- A standardised teaching and assessment framework
- Mutual recognition of participant achievement across the ASEAN region. This includes achievement in individual Units of Competency or qualifications as a whole.

The role of the 'RQFSRS' is to provide, ensure and maintain 'quality assurance' across all countries and educational providers across the ASEAN region

Recognition of Prior Learning (RPL)

Recognition of Prior Learning is the process that gives current industry professionals who do not have a formal qualification, the opportunity to benchmark their extensive skills and experience against the standards set out in each unit of competency/subject.

This process is a learning and assessment pathway which encompasses:

- Recognition of Current Competencies (RCC)
- Skills auditing
- Gap analysis and training
- Credit transfer.

Code of Practice for Assessors

This Code of Practice provides:

- Assessors with direction on the standard of practice expected of them
- Candidates with assurance of the standards of practice expected of assessors
- Employers with assurance of the standards maintained in the conduct of assessment.

The Code detailed below is based on the International Code of Ethics and Practice (The National Council for Measurement in Education [NCME]):

- The differing needs and requirements of the person being assessed, the local enterprise and/or industry are identified and handled with sensitivity
- Potential forms of conflict of interest in the assessment process and/or outcomes are identified and appropriate referrals are made, if necessary
- All forms of harassment are avoided throughout the planning, conducting, reviewing and reporting of the assessment outcomes

- The rights of the candidate are protected during and after the assessment
- Personal and interpersonal factors that are not relevant to the assessment of competency must not influence the assessment outcomes
- The candidate is made aware of rights and process of appeal
- Evidence that is gathered during the assessment is verified for validity, reliability, authenticity, sufficiency and currency
- Assessment decisions are based on available evidence that can be produced and verified by another assessor
- Assessments are conducted within the boundaries of the assessment system policies and procedures
- Formal agreement is obtained from both the candidate and the assessor that the assessment was carried out in accordance with agreed procedures
- The candidate is informed of all assessment reporting processes prior to the assessment
- The candidate is informed of all known potential consequences of decisions arising from an assessment, prior to the assessment
- Confidentiality is maintained regarding assessment results
- The assessment results are used consistently with the purposes explained to the candidate
- Opportunities are created for technical assistance in planning, conducting and reviewing assessment procedures and outcomes.

Instructions and Checklist for Assessors

Instructions

General instructions for the assessment:

- Assessment should be conducted at a scheduled time that has been notified to the candidate
- Facilitators must ensure participants are made aware of the need to complete assessments and attend assessment sessions
- If a participant is unable to attend a scheduled session, they must make arrangements with the Assessor to undertake the assessment at an alternative time
- At the end of the assessment the Assessor must give feedback and advise the participant on their PC/NYC status
- Complete the relevant documentation and submit to the appropriate department.

Preparation

- Gain familiarity with the Unit of Competency, Elements of Competency and the Performance Criteria expected
- Study details assessment documentation and requirements
- Brief candidate regarding all assessment criteria and requirements.

Briefing Checklist

- Begin the assessment by implementing the following checklist and then invite the candidate to proceed with assessment.

Checklist for Assessors

Prior to the assessment I have:	Tick (✓)	Remarks
Ensured the candidate is informed about the venue and schedule of assessment.		
Received current copies of the performance criteria to be assessed, assessment plan, evidence gathering plan, assessment checklist, appeal form and the company's standard operating procedures (SOP).		
Reviewed the performance criteria and evidence plan to ensure I clearly understood the instructions and the requirements of the assessment process.		
Identified and accommodated any special needs of the candidate.		
Checked the set-up and resources for the assessment.		
During the assessment I have:		
Introduced myself and confirmed identities of candidates.		
Put candidates at ease by being friendly and helpful.		
Explained to candidates the purpose, context and benefits of the assessment.		
Ensured candidates understood the assessment process and all attendant procedures.		
Provided candidates with an overview of performance criteria to be assessed.		
Explained the results reporting procedure.		
Encouraged candidates to seek clarifications if in doubt.		
Asked candidates for feedback on the assessment.		
Explained legal, safety and ethical issues, if applicable.		
After the assessment I have:		
Ensured candidate is given constructive feedback.		
Completed and signed the assessment record.		
Thanked candidate for participating in the assessment.		

Instructions for Recording Competency

Specifications for Recording Competency

The following specifications apply to the preparation of Evidence Gathering Plans:

- A Competency Recording Sheet must be prepared for each candidate to ensure and demonstrate all Performance Criteria and Competency Elements are appropriately assessed. This Sheet indicates how the Assessor will gather evidence during their assessment of each candidate
- This Competency Recording Sheet is located at the end of the Assessment Plan
- It is the overriding document to record competency
- The Assessor may vary the Competency Recording Sheet to accommodate practical and individual candidate and/or workplace needs
- Assessor must place a tick (✓) in the 'Assessment Method' columns to identify the methods of assessment to be used for each candidate
- Multiple Competency Elements/Performance Criteria may be assessed at the one time, where appropriate
- The assessor and participant should sign and date the Competency Recording Sheet, when all forms of evidence and assessment have been completed
- The assessor may provide and feedback or clarify questions which the participant may have in regards to the assessment grade or findings
- All documents used to capture evidence must be retained, and attached to the Competency Recording Sheet for each candidate for each Competency Unit.

Instructions for Different Assessment Methods

Specifications for Work Project Assessment

These guidelines concern the use of work projects.

The work projects identified in the Training Manuals involve a range of tasks, to be performed at the discretion of the Assessor.

Work project tasks can be completed through any form of assessment as identified in the Trainer and Trainee Manuals and stated at the start of this section.

Assessors should follow these guidelines:

- Review the Work Projects at the end of each 'Element of Competency' in the Trainee Manual to ensure you understand the content and what is expected
- Prepare sufficient resources for the completion of work activities including:
 - Time – whether in scheduled delivery hours or suggested time participants to spend outside of class hours
 - Resources – this may involve technical equipment, computer, internet access, stationery and other supplementary materials and documents
- Prepare assessment location (if done in class) making it conducive to assessment
- Explain Work Projects assessment to candidate, at the start of each Element of Competency. This ensures that participants are aware of what is expected and can collate information as delivery takes place

- Assessors can use the following phrase as a guide (where an 'X' is identified, please input appropriate information):
 "At the end of each Element of Competency there are Work Projects which must be completed. These projects require different tasks that must be completed.
 These work projects are part of the formal assessment for the unit of competency titled X:
 You are required to complete these activities:
 a) *Using the 'X' method of assessment*
 b) *At 'X' location*
 c) *You will have 'X time period' for this assessment*
 You are required to compile information in a format that you feel is appropriate to the assessment
 Do you have any questions about this assessment?"
- Commence Work Project assessment:
 - The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
 - Participants complete work projects in the most appropriate format
 - Participants must submit Work Project evidence to the assessor before the scheduled due date
- Assessor must assess the participant's evidence against the competency standards specified in each Element of Competency and their own understanding. The assessor can determine if the participant has provided evidence to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Oral Question Assessment

These guidelines concern the use of oral questioning.

Assessors should follow these guidelines.

- Prepare Assessment Record for Oral Questioning. One record for each candidate:
 - Enter Student name
 - Enter Assessor name
 - Enter Location
- Familiarise self with Questions to be asked
- Prepare assessment location (table and chairs) making it conducive to assessment
- Explain Oral Questioning assessment to candidate, using the following phrase as a guide (where a 'X' is identified, please input appropriate information):
"These oral questions are part of the formal assessment for the unit of competency titled X.
There are X questions and you are required to answer all of them to the best of your ability and I will record whether or not you have answered correctly.

We have 60 minutes for this assessment.

- I will give you feedback at the end of the assessment
- Do you have any questions about this assessment?”
- Commence Oral Questioning assessment:
 - Complete Assessment Record for the Oral Questioning by:
 - a) Ticking PC or NYC, as appropriate
 - b) Entering ‘Remarks’ as required
 - c) Completing Oral Questioning within 60 minutes
- Complete Oral Questioning and provide feedback to candidate
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Written Question Assessment

These guidelines concern the use of written questioning.

Assessors should follow these guidelines:

- Familiarise self with Questions and Answers provided
- Print and distribute copies of ‘Written Questions’ for participants. Ideally this should take place with adequate time for participants to answer all questions before the expected due date
- Explain Written Questioning assessment to candidate, using the following phrase as a guide (where a ‘X’ is identified, please input appropriate information):

“These written questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability.

You may refer to your subject materials, however where possible try to utilise your existing knowledge when answering questions.

Where you are unsure of questions, please ask the Assessor for further instruction. This may be answering the question orally or asking the assessor to redefine the question.

We have X time for this assessment:

- The due date for completion of this assessment is X
- On this date you must forward the completed questions to the assessor by X time on the date of X
- Do you have any questions about this assessment?”
- The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
- Participants may record written answers (where possible)
- Participants must submit the written answers to the assessor before the scheduled due date

- Assessor must assess the participant's written answers against the model answers provided as a guide, or their own understanding. The assessor can determine if the participant has answered the questions to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Observation Checklist

These specifications apply to the use of the Observation Checklist in determining competency for candidates.

Only an approved assessor is authorised to complete the Observation Checklist.

The assessor is required to observe the participant, ideally in a simulated environment or their practical workplace setting and record their performance (or otherwise) of the competencies listed on the Observation Checklist for the Competency Unit.

To complete the Observation Checklist the Assessor must:

- Insert name of candidate
- Insert assessor name
- Insert identify of location where observations are being undertaken
- Insert date/s of observations – may be single date or multiple dates
- Place a tick in either the 'Yes' or 'No' box for each listed Performance Criteria to indicate the candidate has demonstrated/not demonstrated that skill
- Provide written (and verbal) feedback to candidate – as/if appropriate
- Sign and date the form
- Present form to candidate for them to sign and date
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Observation Checklist.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the participant.

Specifications for Third Party Statement

These specifications relate to the use of a relevant workplace person to assist in determining competency for candidates.

The Third Party Statement is to be supplied by the assessor to a person in the workplace who supervises and/or works closely with the participant.

This may be their Supervisor, the venue manager, the Department Manager or similar.

The Third Party Statement asks the Supervisor to record what they believe to be the competencies of the participant based on their workplace experience of the participant. This experience may be gained through observation of their workplace performance, feedback from others, inspection of candidate's work etc.

A meeting must take place between the Assessor and the Third Party to explain and demonstrate the use of the Third Party Statement.

To complete the Third Party Verification Statement the Assessor must:

- Insert candidate name
- Insert name and contact details of the Third Party
- Tick the box to indicate the relationship of the Third Party to the candidate
- Present the partially completed form to the Third Party for them to finalise
- Collect the completed form from the Third Party
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Third Party Statement.

The Third Party must:

- Record their belief regarding candidate ability/competency as either:
 - Pass Competent = Yes
 - Not Yet Competent = No
 - Unsure about whether candidate is competent or not = Not Sure
- Meet briefly with the assessor to discuss and/or clarify the form.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the candidate.

A separate Third Party Statement is required for each Competency Unit undertaken by the candidate.

Competency standard

UNIT TITLE: MANAGE AND CONTROL OPERATIONAL COSTS		NOMINAL HOURS: 60
UNIT NUMBER: D2.TFA.CL7.05		
UNIT DESCRIPTOR: This unit deals with skills and knowledge required to manage and to control costs associated with the operation of a travel and tourism business		
ELEMENTS AND PERFORMANCE CRITERIA	UNIT VARIABLE AND ASSESSMENT GUIDE	
Element 1: Identify the context of operational costs 1.1 Define <i>the meaning of cost</i> to the organisation 1.2 Distinguish between the <i>classifications of costs</i> experienced by the organisation 1.3 Identify examples of <i>actual costs</i> experienced by the organisation 1.4 Identify <i>the decision making process</i> that relates to cost within the organisation 1.5 Identify the <i>cost controls provided by budgeting</i> 1.6 Differentiate between <i>budget types</i> and identify their application within the organisation 1.7 Identify the <i>budget cycle</i>	Unit Variables The Unit Variables provide advice to interpret the scope and context of this unit of competence, allowing for differences between enterprises and workplaces. It relates to the unit as a whole and facilitates holistic assessment This unit applies to all industry sectors that seek to proactively control costs to achieve identified financial outcomes associated with operating the business within the labour divisions of the hotel and travel industries and may include: 1. Travel Agencies 2. Tour Operation <i>The meaning of cost</i> may be related to: • Regarding cost as an asset • Seeing assets as potential costs • Differentiating between costs and expenditure. <i>Classifications of costs</i> may include: • Actual cost • Budgeted cost	

1.8 <i>Identify the budgets that exist within the organisation</i>	• Direct cost
1.9 <i>Determine the current status of existing budgets</i>	• Indirect cost
Element 2: Manage operational costs	• Controllable cost
2.1 <i>Develop or confirm procedures for managing cost</i>	• Joint cost
2.2 <i>Develop or confirm documentation required to support and record cost allocations to budgets</i>	• Discretionary cost
2.3 <i>Develop or confirm cost analysis and verification procedures</i>	• Relevant cost
2.4 <i>Develop or confirm cost-related reporting procedures</i>	• Opportunity cost
Element 3: Control operational costs	• Fixed cost and variable cost
3.1 <i>Set budgetary limits and objectives for individual cost-related budgets</i>	• Semi-fixed and semi-variable cost
3.2 <i>Monitor performance of cost-related budgets</i>	• Standard cost.
3.3 <i>Take action to address negative variances</i>	<i>Actual costs may be related to:</i>
3.4 <i>Take action to maintain positive variances or acceptable budget performance</i>	• Labour
	• Raw materials, including food and beverages for tours
	• Vehicles, fuel, repairs and registration
	• Buildings, including supplies to maintain and operate the office(s)
	• Supplies for tours, including initial purchases, replacements and new acquisitions
	• Purchases made from suppliers, providers, carriers and third parties
	• Promotion and advertising
	• Power and utilities
	• Commissions payable
	• Interest payments and capital repayments.

The decision making process may include:

- Application of cost-benefit analysis
- The Cost-Volume-Profit (CVP) approach to decision making distinguishing between fixed and variable costs
- Depreciation schedules
- Consideration of the intangible factors that impact on cost, including safety, levels of service, reputation of the business, customer expectations, waiting and response times, nature and type of products and services provided
- Timing of spending
- Allocation of costs
- Definition and classification of costs.

Cost controls provided by budgeting should relate to:

- Creating a chart of accounts, including definitions of budgets, budget lines and code allocations
- Allocating funds to budgets and budget lines
- Undertaking forecasting activities to determine budget requirements and the timing of funds availability
- Consideration of individual cost areas by type and nature
- Direct relationship to revenue expected/projected, including reference to past accounting records and data
- An understanding of the contribution made by each budget line to overall total cost for nominated items, such as packages and deals
- An understanding of how the structure of costs impacts on results/business performance.

	<i>Budget types may include:</i> • Non-monetary budgets, including labour by hours/days, equipment by type and quantity, and similar • Short-term and long-term budgets • Capital budget • Operation budget • Department budget • Master budget • Fixed versus flexible/variable budgets. <i>Budget cycle will include:</i> • Establishing objectives for each budget • Developing plans to enable identified objectives to be attained/achieved • Comparing actual results with expected/projected outcomes • Taking corrective/remedial action as required by comparison of actual and projected outcomes • Improving budgetary effectiveness using continuous improvement concepts. <i>Identify the budgets that exist within the organisation may include:</i> • Naming the budgets • Identifying the funding, or other non-monetary, allocations to each budget • Identifying the chart of accounts that attach to the budgets. <i>Determine the current status of existing budgets may include:</i> • Assessing actual position compared to projected positions • Identifying upcoming costs • Comparing current situation to previous trends and budget data.
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	<i>Procedures for managing cost</i> may include: • Scopes of authority for spending • Establishment of a tender process • Policies and procedures regarding use of budgets and application of funds • Probity and security issues • Use of purchasing specifications • Checking and verification procedures for products and services received • Cost/spending limitations linked to individual positions within the organisation • Need to obtain multiple quotes for costs over designated amounts • Use of preferred suppliers. <i>Documentation required to support and record cost allocations</i> may include: • Quotations received • Tender documents • Purchase orders • Invoices and statements • Credit notes. <i>Cost analysis and verification procedures</i> may include: • Monitoring of budgetary activity • Validating costs allocated to budget lines • Allocating indirect costs to correct revenue areas • Calculating budget variances • Proving the accuracy of budgets
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	• Undertaking cost-per-item calculations, including product, service or package • Comparing current statistics to previous periods • Tracking costs. <i>Cost-related reporting procedures</i> may include: • Accounting and financial reports • Budget reports • Performance reports • Ensuring reports are completed accurately and made available in a timely manner • Written budget notes with financial reports. <i>Budgetary limits and objectives</i> may include: • A nominated monetary amount • A nominated physical quantity in a non-monetary budget • Acceptable parameters for budget performance, including red flag signals • Key performance indicators for evaluating budget performance in the short- and long-term. <i>Monitor performance</i> may include: • Scheduling regular budget checks and analysis • Producing regular supporting reports • Investigating errors and irregularities • Calculating relevant statistics, ratios, percentages, • Tracking costs • Comparing actual costs incurred to forecasted estimates
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- Ensuring entries have been made to the correct budget/budget line
- Verifying supporting documentation for costs
- Ensuring compliance with established policies and procedures relating to budgets and spending.

Take action to address negative variances may include:

- Double-checking statistics to ensure that the base budget report data is accurate and factual
- Negotiating prices with suppliers, providers and carriers
- Agreeing to purchase a bulk amount at a discounted price, including items, rooms, seats, tickets, and similar
- Seeking to offer pre-payment or payment on delivery in exchange for a discounted price
- Seeking to arrange contra deals with suppliers and providers
- Sourcing alternative suppliers
- Sourcing alternative products and service providers
- Tendering out purchases
- Seeking to re-negotiate existing contracts
- Identifying costs that can be eliminated and/or reduced without impacting on service provision and the identified intangible factors deemed important for the operation of the business
- Meeting with suppliers and other stakeholders to explain the needs of the business in relation to cost and seeking their solutions
- Ensuring the contractual arrangements agreed to with a supplier are being honoured
- Reviewing initial allocations to budgets to determine if they were unrealistic in the first instance

	• Making extra funds/resources available to budgets as required • Seeking a better cost sharing arrangement with partners, head office, sub-agencies and similar • Inviting suppliers, providers and carriers to share in current existing costs, such as promotions, advertising, promotional materials, familiarisations • Amending existing policies and procedures to restrict current authorisations for spending • Reviewing stock procedures to eliminate and/or reduce theft • Implementing checking procedures to ensure that all items paid for have been received • Checking staff practices to ensure that products and services are not inadvertently being provided to customers, where they have not been included as a cost in the deal • Removing products and services from the menu of products and services available, where costs are unacceptable • Reviewing stock rotation protocols to ensure stock is not being discarded due to age or damage • Investigating wastage statistics to determine whether products are being used improperly and/or causing excess consumption of materials • Providing suggestions for action to management. <i>Take action to maintain positive variances or acceptable budget performance may include:</i> • Determining if lessons from one budget can be applied to another budget • Negotiating an extension of an acceptable contract under the same costs with an existing supplier, provider or carrier • Congratulating personnel responsible • Remaining loyal to suppliers, providers and carriers who are providing acceptable cost prices • Entering into a contractual relationship with a supplier where no contractual arrangement currently exists • Providing suggestions for action to management.
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Assessment Guide

The following skills and knowledge must be assessed as part of this unit:

- Enterprise policies and procedures in regard to financial management and control
- Knowledge of and the ability to apply principles of accounting, including use of journals and ledgers, and the double-entry system of accounting
- Ability to use budgetary and internal control and monitoring techniques
- Knowledge of costs associated with conducting the host organisation operation
- Understanding of supply alternatives, terms and conditions relating to products and services purchased and negotiation parameters that apply to the travel and tourism industries
- Ability to analyse and interpret budgets
- Ability to identify and respond to budget variances, including the ability to identify causes of budget variances
- Ability to negotiate with suppliers, providers, carriers and other businesses
- Knowledge of the role and type of supporting documentation that accompany costs
- Ability to generate budget reports and associated and supplementary financial reports and statements
- Ability to use software packages to manage and control costs, where appropriate.

Linkages To Other Units

- Access and retrieve computer-based data
- Perform clerical procedures
- Prepare tenders for catering contracts
- Establish and maintain a business relationship
- Develop new products and services

- Produce documents, reports and worksheets on a computer
- Plan and establish systems and procedures
- Use common business tools and technology
- Work cooperatively in a general administration environment
- Develop and implement operational policies
- Audit financial procedures
- Maintain financial standards and records
- Manage financial performance within a budget
- Monitor catering revenue and costs
- Manage legal requirements for business compliance
- Manage stock purchases and inventory
- Provide professional support to business colleagues
- Develop and update tourism industry knowledge
- Process a financial sale transaction
- Prepare and submit quotations
- Minimise theft
- Receive and store stock
- Interpret financial statements and reports
- Maintain a secure financial accounting system
- Manage contractual agreements/commitments
- Prepare financial statements.

Critical Aspects of Assessment

Evidence of the following is essential:

- Understanding of host enterprise policies and procedures in regard to financial management and control
- Demonstrated ability to identify the context of operational costs in a nominated real or simulated industry business, including:
 - Identifying the classifications of cost that apply
 - Identifying actual costs
 - Identifying the cost controls that exist
 - Identifying the budget types that exist
- Demonstrated ability to describe effective, viable and comprehensive procedures that could apply to the management of provided budgets within nominated real or simulated industry business, including:
 - Identifying the documentation required
 - Identifying cost analysis and verification procedures
 - Identifying reporting procedures
- Demonstrated ability to describe the action that could be taken in response to nominated budget-related information to address negative budget outcomes within a designated industry context.

Context of Assessment

This unit may be assessed on or off the job:

- Assessment should include practical demonstration either in the workplace or through a simulation activity, supported by a range of methods to assess underpinning knowledge
- Assessment must relate to the individual's work area or area of responsibility.

Resource Implications

Training and assessment to include access to a real or simulated workplace: and access to workplace standards, procedures, policies, guidelines, budgets, tools and equipment.

Assessment Methods

The following methods may be used to assess competency for this unit:

- Case studies
- Observation of practical candidate performance
- Oral and written questions
- Analysis of a portfolio of evidence produced by the candidate, including budgets, revised budgets, budget notes, financial statements and budget reports, recommendations for addressing budget variances
- Third party reports completed by a supervisor
- Project and assignment work.

Key Competencies in this Unit

Level 1 = competence to undertake tasks effectively

Level 2 = competence to manage tasks

Level 3 = competence to use concepts for evaluating

Key Competencies	Level	Examples
Collecting, organising and analysing information	3	Gather budget data to determine budget performance
Communicating ideas and information	2	Explain revised or new budget controls to staff
Planning and organising activities	3	Schedule budget reviews

	Working with others and in teams	3	Liaise with suppliers and others to negotiate improved deals
	Using mathematical ideas and techniques	3	Calculate budgetary statistics
	Solving problems	3	Determine action to respond to unacceptable budgetary outcomes
	Using technology	3	Use accounting software to record and manipulate budget data

Oral questions

Student name	
Assessor name	
Location/venue	
Unit of competency	Manage and control operational costs D2.TFA.CL7.05
Instructions	1. Ask student questions from the attached list to confirm knowledge, as necessary 2. Place tick in boxes to reflect student achievement (Pass Competent 'PC' or Not Yet Competent 'NYC') 3. Write short-form student answer in the space provided for each question.

Questions	Response	
	PC	NYC
1. With reference to a particular organisation explain how they define cost.	☐	☐
2. For the organisation used in your answer to the previous question explain how they distinguished between their classifications of costs.	☐	☐

Questions	Response	
	PC	NYC
3. Give me three examples of each of the classifications of costs identified in your previous response.	☐	☐
4. For an organisation where you have worked identify the decision making process that related to cost within the business.	☐	☐
5. What cost controls have you seen provided by the budget process?	☐	☐

Questions	Response	
	PC	NYC
6. Identify and differentiate between three types of budgets you have experience with.	☐	☐
7. In your own words and with reference to an example, explain what is meant by 'the budget cycle'	☐	☐
8. When working in an organisation how would you identify the budgets which existed within that business?	☐	☐

Questions	Response	
	PC	NYC
9. Identify a budget and explain what you would do to identify the current status of that budget.	☐	☐
10. Tell me about three workplace procedures for managing cost you have either developed or been required to comply with.	☐	☐
11. Identify and describe the role of two documents you have used (or developed) to support and record cost allocations to budgets.	☐	☐

Questions	Response	
	PC	NYC
12. Describe two workplace situations where you have developed or confirmed cost analysis and verification procedures as part of the overall process of managing operational cost.	☐	☐
13. Describe the cost-related reporting procedures you have used: with what frequency did reporting occur? How were reports communicated? What was the content/focus of the reports?	☐	☐
14. Give me an example of where you have set budgetary limits and objectives for a specific cost-related budget.	☐	☐

Questions	Response	
	PC	NYC
15. Explain your activities when you were monitoring the performance of cost-related budgets: what did you check? When? How? Why?	☐	☐
16. Give me an example of where you took action to address negative variances in a cost-related budget. What did you do? Why? What was the impact?	☐	☐
17. Tell me how you have managed to maintain positive variances or acceptable budget performance for cost-related budgets.	☐	☐

Written questions

Manage and control operational costs – D2.TFA.CL7.05

Student Name: _____

Answer all the following questions and submit to your Trainer.

1. What is the difference between cost and expenditure?

2. Define the term 'controllable costs'.

3. What is the formula for determining 'cost of goods sold'?

4. Identify the points you need to assess in order to determine the price for a product.

5. What is the basis for budgets?

6. Explain the difference between an Operating Budget and an Expenditure Budget.

7. List three activities that may be involved in establishing budget cycles.

8. Identify five budgets that may exist in an organisation.

9. Which stakeholders may be involved in a budget review?

10. Identify 5 procedures for managing costs.

11. Why would you need a full check and paper trail of all purchases made?

12. What procedures may be included in cost analysis and verification?

13. Identify five points included in the contents of a cost related report.

14. What should cost controls relating to budgeting relate to?

15. What five basics should you pay attention to when analysing a budget?

16. Identify three critical points for making recommendations for negative variations.

17. What positive actions can be taken to maintain positive variances in a budget?

Answers to written questions

Manage and control operational costs – D2.TFA.CL7.05

The following are model answers only – Trainers/Assessors must use discretion when determining whether or not an answer provided by a Student is acceptable or not.

1. What is the difference between cost and expenditure?

Costs are normally identified as a price paid or incurred at a particular time, whereas the expense (when it is actually used) may not occur for some time or may gradually take place over a long period of time.

2. Define the term ‘controllable costs’.

- These are expenses over which the establishment has control
- Where costs are controllable you are expected to ensure they are maintained within the parameters set for you by management and budgets.

3. What is the formula for determining ‘cost of goods sold’?

- Opening stock
- Add: Purchases
- Subtract: Closing stock
- Total cost of goods sold.

4. Identify the points you need to assess in order to determine the price for a product.

- What customers are willing to pay
- What your competitors are charging
- How much profit you wish to make
- What would happen if you increase the sales price•
- Your market share objective.

5. What is the basis for budgets?

- A business will have a budgetary goal – that is, what it wants to achieve in terms of a financial outcome for the period in question
- This goal will be achieved in theory by following a budgetary plan – that is, a forecast of what income and expenditures are expected for the period
- Progress for the period will be monitored by budgetary control – that is, on–going comparisons between predicted and actual figures, combined with action to rectify variances.

6. Explain the difference between an Operating Budget and an Expenditure Budget.

- An **operating budget** just looks at income and expenses, in total, either for the business as a whole or on a departmental basis
- The **expenditure budget** - This document sets out the dollars the establishment or department is expected to spend for the period given, be it a day, week or month.

7. List three activities that may be involved in establishing budget cycles.

Any of the following;

- Establishing objectives for each budget cycle
- Developing plans to enable identified objectives to be attained and achieved
- Comparing actual results with projected outcomes
- Taking remedial action as required by comparison of actual and projected outcomes
- Improving budgetary effectiveness using continuous improvement concepts.

8. Identify five budgets that may exist in an organisation.

Any of the following

- Expenditure budget
- Capital expenditure budget
- Departmental budget
- Fixed budget
- Flexible budget
- Operating budgets
- Sales budget
- Labour budgets
- Material budgets
- Inventory budgets
- Overhead budgets
- Budgeted financial performance statement
- Cash flow budgets
- Budgeted statement of financial position
- Project budget
- Purchases budget
- Master budgets.

9. Which stakeholders may be involved in a budget review?

Any of the following;

- Management or owners
- Purchasing officer
- Accounting staff
- The budget team or committee
- Anyone involved in the initial preparation of the budgets
- Supervisors or department heads
- Representatives from operational staff – all departments but especially marketing or sales.

10. Identify 5 procedures for managing costs?

Any of the following;

- Managing stock
- Controlling inventory
- Managing purchases
- Develop approval systems for purchases and payments
- Identify scope of authority for spending
- Identifying purchase specifications
- Managing the tendering process
- Maintaining current, accurate and relevant data relating to items and prices
- Managing purchase orders
- Managing payments systems
- Managing credit policies and procedures for clients
- Managing cash payments
- Managing petty cash payments
- Managing budgets
- Managing labour costs
- Managing payroll
- Managing fixed assets.

11. Why would you need a full check and paper trail of all purchases made?

Every purchase should be supported by some form of documentation or record to provide evidence the purchase is a valid one and has been appropriately paid.

12. What procedures may be included in cost analysis and verification?

Any of the following;

- Monitoring of budgetary activity
- Validating costs allocated to budget lines
- Allocating indirect costs to correct revenue areas
- Calculating budget variances
- Undertaking cost-per-item calculations, including product, service or package
- Comparing current statistics to previous periods
- Tracking costs.

13. Identify five points included in the contents of a cost related report.

The report should address:

- The names of the budgets involved
- The period to which the report applies
- The projected and actual figures together with identification of the variance
- A statement about how long this trend has been present and the extent of these other variances including variation totals and cumulative variance percentages
- An outline of the investigation which has been conducted into the variances
- An explanation of the causes identified complete with an allocation, where possible, of dollar amounts to each identified cause
- A set of recommendations to redress the current situation
- A request to management to, where deemed appropriate, to revise the budget or to allocate more funds.

14. What should cost controls relating to budgeting relate to?

Cost controls provided by budgeting should relate to:

- Creating a chart of accounts, including definitions of budgets, budget lines and code allocations
- Allocating funds to budgets and budget lines
- Undertaking forecasting activities to determine budget requirements and the timing of funds availability
- Consideration of individual cost areas by type and nature
- Direct relationship to revenue expected/projected, including reference to past accounting records and data
- An understanding of the contribution made by each budget line to overall total cost for nominated items, such as packages and deals
- An understanding of how the structure of costs impacts on results/business performance.

15. What five basics should you pay attention to when analysing a budget?

- Outcomes
- Achievements
- Variances
- Trends
- Deficiencies.

16. Identify three critical points for making recommendations for negative variations.

Any of the following;

- Made only when you are in full possession of all the relevant facts
- Able to be seen as 'part of the solution and not part of the problem'
- Practical and able to be readily implemented
- Able to demonstrate the required changes will occur if your suggestions are followed
- Fully-costed
- Talked through with management – before its final presentation to them as a definite proposal for change.

17. What positive actions can be taken to maintain positive variances in a budget?

Any of the following; Determining if lessons from one budget can be applied to another budget

- Negotiating an extension of an acceptable contract under the same costs with an existing supplier, provider or carrier
 - Congratulating personnel responsible
 - Remaining loyal to suppliers, providers and carriers who are providing acceptable cost prices
 - Entering into a contractual relationship with a supplier where no contractual arrangement currently exists
 - Providing suggestions for action to management.
-

Observation checklist

Student name	
Assessor name	
Location/venue	
Unit of competency	Manage and control operational costs D2.TFA.CL7.05
Dates of observation	
Instructions	- Over a period of time observe the student completing each of the following tasks: - Identify the context of operational costs - Manage operational costs - Control operational costs - Enter the date on which the tasks were undertaken - Place a tick in the box to show they completed each aspect of the task to the standard expected in the enterprise - Complete the feedback sections of the form, if required.

Did the candidate	Yes	No
Element 1: Identify the context of operational costs		
Define the meaning of cost to the organisation	☐	☐
Distinguish between the classifications of costs experienced by the organisation	☐	☐
Identify examples of actual costs experienced by the organisation	☐	☐
Identify the decision making process that relates to cost within the organisation	☐	☐
Identify the cost controls provided by budgeting	☐	☐
Differentiate between budget types and identify their application within the organisation	☐	☐
Identify the budget cycle	☐	☐
Identify the budgets that exist within the organisation	☐	☐
Determine the current status of existing budgets	☐	☐

Did the candidate	Yes	No
Element 2: Manage operational costs		
Develop or confirm procedures for managing cost	☐	☐
Develop or confirm documentation required to support and record cost allocations to budgets	☐	☐
Develop or confirm cost analysis and verification procedures	☐	☐
Develop or confirm cost-related reporting procedures	☐	☐
Element 3: Control operational costs		
Set budgetary limits and objectives for individual cost-related budgets	☐	☐
Monitor performance of cost-related budgets	☐	☐
Take action to address negative variances	☐	☐
Take action to maintain positive variances or acceptable budget performance	☐	☐
Did the student's overall performance meet the standard?	☐	☐

Feedback to student and trainer/assessor**Strengths:****Improvements needed:****General comments:****Candidate signature****Date****Assessor signature****Date**

Third Party Statement

Student name:			
Name of third party:		Contact no:	
Relationship to student:	☐ Employer ☐ Supervisor ☐ Colleague ☐ Other <i>Please specify: _____</i> <i>Please do not complete the form if you are a relative, close friend or have a conflict of interest]</i>		
Unit of competency:	Manage and control operational costs D2.TFA.CL7.05		
The student is being assessed against industry competency standards and we are seeking your support in the judgement of their competence. Please answer these questions as a record of their performance while working with you. Thank you for your time.			
Do you believe the trainee has demonstrated the following skills? <i>(tick the correct response]</i>	Yes	No	Not sure
Identifies and differentiates between the orientation towards and differences between costs for the organisation	☐	☐	☐
Identifies the decision-making process relating to, and the controls associated with, cost	☐	☐	☐
Identifies and differentiates between budget types used by the organisation	☐	☐	☐
Identifies the budget cycle and status of budgets for the business	☐	☐	☐
Develops or confirms procedures for managing cost, documentation required to support and record cost allocations to budgets, cost analysis and verification procedures and cost-related reporting procedures	☐	☐	☐
Sets budgetary limits and objectives for individual cost-related budgets and monitors their performance	☐	☐	☐
Take action to address negative variances and maintain positive variances or acceptable budget performance	☐	☐	☐

Comments/feedback from Third Party to Trainer/Assessor:

Third party signature:

Date:

Send to:

Competency recording sheet

Name of Student		
Name of Assessor/s		
Unit of Competency	Manage and control operational costs	D2.TFA.CL7.05
Date assessment commenced		
Date assessment finalised		
Assessment decision	Pass Competent / Not Yet Competent (Circle one)	
Follow up action required (Insert additional work and assessment required to achieve competency)		
Comments/observations by assessor/s		

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 1: Identify the context of operational costs						
Define the meaning of cost to the organisation						
Distinguish between the classifications of costs experienced by the organisation						
Identify examples of actual costs experienced by the organisation						
Identify the decision making process that relates to cost within the organisation						
Identify the cost controls provided by budgeting						
Differentiate between budget types and identify their application within the organisation						
Identify the budget cycle						
Identify the budgets that exist within the organisation						
Determine the current status of existing budgets						

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 2: Manage operational costs						
Develop or confirm procedures for managing cost						
Develop or confirm documentation required to support and record cost allocations to budgets						
Develop or confirm cost analysis and verification procedures						
Develop or confirm cost-related reporting procedures						
Element 3: Control operational costs						
Set budgetary limits and objectives for individual cost-related budgets						
Monitor performance of cost-related budgets						
Take action to address negative variances						
Take action to maintain positive variances or acceptable budget performance						
Candidate signature:			Date:			
Assessor signature:			Date:			

William
Angliss
Institute

Specialist centre
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**Australian
Aid** 